



BA and BSc Degree Examinations 2021-22

Department:

Management

Title of Exam:

Business Economics

Time Allowed:

THREE hours (plus one hour upload time)

Allocation of Marks:

This paper is in two sections: Section **A** and Section **B**

Instructions for Candidates:

Candidates should answer **ALL** questions

A note on Academic Integrity

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However, you must ensure that the work you submit is entirely your own, and for the whole time the assessment is live you must not:

- communicate with departmental staff on the topic of the assessment
- communicate with other students on the topic of this assessment.
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Section A: Answer all questions and choose one answer for each question. (Total 50 marks)

Question 1

The effect of a change in price on the quantity demanded can be divided into an income effect and a substitution effect.

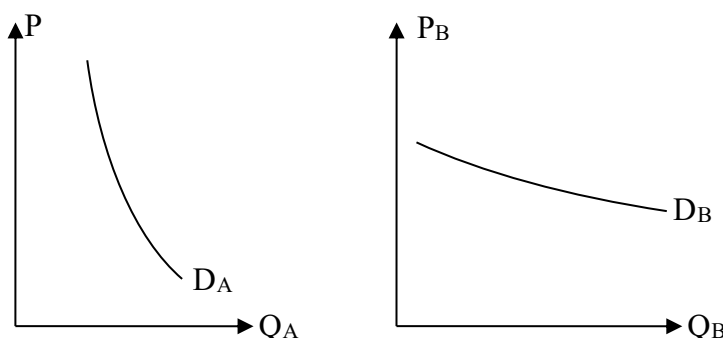
1. The substitution effect refers to the effect on quantity demanded of a change in the price keeping (real) income constant.
2. The income effect refers to the effect on quantity demanded of a change in (real) income.

- A. Statement 1 is False and Statement 2 is False
- B. Statement 1 is False and Statement 2 is True
- C. Statement 1 is True and Statement 2 is True
- D. Statement 1 is True and Statement 2 is False

(2 marks)

Question 2

Consider these demand curves for products A and B, which are drawn using the same quantity scale and the same price scale.



Which of the following statements describes the demand for these two products?

- A The demand for A is more elastic than the demand for B indicating that there are relatively few substitutes for A but several good substitutes for B
- B The demand for A is less elastic than the demand for B indicating that there are several good substitutes for A but relatively few substitutes for B
- C The demand for A is more elastic than the demand for B indicating that there are several good substitutes for A but relatively few substitutes for B
- D The demand for A is less elastic than the demand for B indicating that there are relatively few substitutes for A but several good substitutes for B

(2 marks)

Question 3

Consider the retail market for electricity. Assume that there is a maximum price for electricity, set by the government, that is below the market equilibrium price for electricity. Maximum prices can sometimes lead to a deadweight loss. The government announces that next year the maximum price will increase. Therefore,

- A The deadweight loss increases.
- B The deadweight loss decreases.**
- C The deadweight loss stays the same.
- D There is no deadweight loss.

(2 marks)

Question 4

The profit maximization condition for a firm in a market with monopolistic competition is the following (MR is marginal revenue, MC is marginal cost, P is price, ATC is average total cost, TR is total revenue):

- A $MR=MC$**
- B $MC= P$
- C $MR=ATC$
- D TR to be maximum.

(2 marks)

Question 5

Monopolistic competition and perfect competition have some features in common. Does the statement below apply to monopolistic competition, perfect competition, to both, or to none? Firms can freely enter in the industry, there are no entry barriers.

- A Monopolistic competition
- B Perfect competition
- C Both**
- D None

(2 marks)

Question 6

Increasing economies of scale can be defined as:

- A If inputs are doubled, output doubles.
- B Large-scale production leading to a better organisation of the factors of production
- C Large-scale production leading to bigger profits
- D Large-scale production leading to lower costs per unit of production**

(2 marks)

Question 7

Government policies that focus on increasing productive potential of the economy are known as:

- A Supply-side policies.
- B Monetary policies
- C Demand-side policies
- D Fiscal policies.

(2 marks)

Question 8

Consider the following statements about a perfectly competitive market:

- (i) Firms are price takers, that means that the change in one firm's output has no influence on the price the firm receives per unit.
- (ii) One of the four assumptions of the model of perfect competition is that there is free entry into the market.

Which of the above statements is correct?

- A Statement (i) is correct, statement (ii) is incorrect.
- B Statement (i) is incorrect, statement (ii) is correct.
- C Both statements are correct.
- D Both statements are incorrect.

(2 marks)

Question 9

Which of the following statements is false about monopolies?

- A A natural monopoly arises when there is not enough market demand to have more than one firm in the market.
- B There is free entry into the market and no entry barriers.
- C Monopolies can arise after intervention by the government, for example, copyright and trademarks.
- D In the long-run, monopoly firms can make supernormal profits.

(2 marks)

Question 10

Consider a market of oligopolistic competition (quantity competition or Cournot competition). In the long run

- (i) Consumers complain that firms have market power and make large positive economic profits and that prices are high.
- (ii) Firms complain that the competition in the market is fierce.

Which of the above statements is correct?

- A Statement (i) is correct, statement (ii) is incorrect.
- B Statement (i) is incorrect, statement (ii) is correct.
- C Both statements are correct.
- D Both statements are incorrect.

(2 marks)

Question 11

A shift in the demand curve could be caused by a change in any of:

A tastes, the price of the good and the price of complements.

B income, the costs of production and the price of other goods.

C income, tastes and the price of other goods.

D income, tastes and the costs of production.

(2 marks)

Question 12

John and Jasmine are planning to go out in the evening. John likes to go to the movies, Jasmine likes to go to the opera. John prefers going to the opera with Jasmine more than going to the movies alone. Jasmine prefers going to the movies with John more than going to the opera alone. Which statement is not correct?

A Both going to the opera is a Nash equilibrium.

B Both going to the movies is a Nash equilibrium.

C John going to the movies and Jasmine going to the opera is a Nash equilibrium.

D There is at least one Nash equilibrium.

(2 marks)

Question 13

The price of a Volkswagen Tiguan is considerably higher in the UK than in France even though the production and transport costs are very similar. This is an example of

A First degree price discrimination.

B Second degree price discrimination.

C Third degree price discrimination.

D no price discrimination.

(2 marks)

Question 14

What would be the effect on the demand for money curve of a rise in interest rates?

A There would be a movement up along it

B It would shift to the left

C It would shift to the right

D There would be no effect

(2 marks)

Question 15

A good where both the degree of rivalry and the degree of excludability is low is called a

A pure private good.

B common good

C public good.

D club good.

(2 marks)

Question 16

- Statement (i): When countries specialise in the production a certain product, they do so because they have a comparative advantage.
- Statement (ii): An example of retaliation is imposing restrictions on import to make sure that the international market price equals the domestic market price.

Which of the above statements is correct?

- A Statement (i) is correct, statement (ii) is incorrect.
- B Statement (i) is incorrect, statement (ii) is correct.
- C Both statements are correct.
- D Both statements are incorrect.

(2 marks)

Question 17

Consider the supply curve of coffee. What would be the effect of an increase in the price of tea?

- A Rightward shift.
- B Movement up along.
- C Leftward shift.
- D Movement down along.

(2 marks)

Question 18

Which of the following is disadvantage of fixed exchange rates?

- A Little or no speculation
- B Less volatility of exchange rates
- C Certainty for the business community
- D Inability to adjust to external shocks and problems with international liquidity.

(2 marks)

Question 19

Consider the exchange rate of pound sterling against dollars. In which of the following cases is the pound expected to appreciate?

- A A rise in interest rate
- B An increase in inflation rate: higher inflation in UK than abroad
- C A rise in UK incomes (relative to other country)
- D There is excess supply for pound.

(2 marks)

Question 20

Which one of the following would cause a leftward shift in a firm's demand curve for labour?

- A A rise in demand for the good
- B A fall in employers' national insurance contributions
- C A fall in the productivity of labour
- D A rise in the wage rate

(2 marks)

Question 21

The difference between maximum willingness to pay and price is known as ...

- A total benefits.
- B producer surplus.
- C deadweight loss.
- D consumer surplus.**

(2 marks)

Question 22

Aggregate demand/expenditure in the economy could be defined as:

- A Consumption
- B Domestic consumption + Investment + Government expenditure + Export**
- C Domestic consumption + Savings + Taxes + Import
- D Wages + rents + interest payments

(2 marks)

Question 23

Which one of the following is not a factor of production?

- A capital
- B labour
- C machinery
- D equilibrium**

(2 marks)

Question 24

If a firm is a price taker, it

- A can increase sales by reducing price.
- B has significant monopoly power.
- C has no ability to influence market price.**
- D can increase profits by raising its price.

(2 marks)

Question 25

Fixed cost is related to

- A the cost that arises from a fixed input**
- B the cost that arises from a variable input
- C the cost that arises from increasing production
- D the cost that has to be paid in £ and not \$.

(2 marks)

(50 marks)

Solutions Section B: Answer all questions. (Total 50 marks)

Question 26

By means of graphs explain the relationship between average cost, marginal cost and total cost. Provide economic explanation of shapes of the curves.

(6 marks)

Answer: MC (rate of change of TC) crosses AC (cost per unit) at point of minimum. The shape is explained by diminishing returns.

Question 27

Using graphs explain what economies of scale are in relation to cost.

(3 marks)

Answer: Economies of scale explain changes of cost in long run. LRAC declines with output at first, as firms benefit from distributing fixed costs over higher volumes.

Question 28

Explain the concept of opportunity cost and provide a real-world example.

(3 marks)

Answer: Opportunity cost includes forgone profits/benefits that could be earned by firm/individual in alternative investments/jobs.

Question 29

With help of graphs explain the difference between an actual and potential output.

(4 marks)

Answer: Actual output is fluctuations of GDP in the short-run, potential output is long-run capacity of an economy based on it's resources and technology.

Question 30

Explain what balance of payments is. In context of it, list the main three accounts of balance of payments and explain what they record.

(4 marks)

Answer: Current account:

Trade in goods & services account – records imports and exports of physical goods and services

Income flows

Current transfers of money

Financial account

Capital account

Errors and omissions

Question 31

Consider the following simultaneous-move game. Here, payoffs are (Player 1 , Player 2). Find all (pure) Nash equilibria.

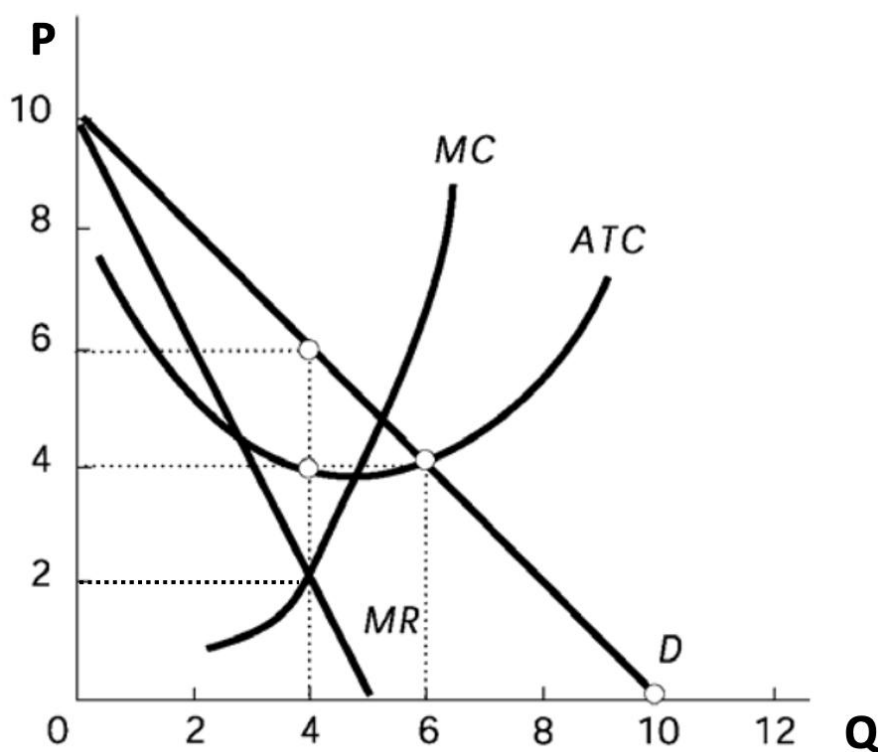
		Player 2	
		Apple	Pear
Player 1	Red	(3 , 3)	(6 , 0)
	Blue	(0 , 6)	(5 , 5)

Answer: Hence, there is one Nash equilibrium (Red, Apple). Best response for Player 1 is Red irrespective what player 2 does, and Apple for Player 2 irrespective what Player 1 does.

(6 marks)

Question 32

Consider the following situation of a monopolist, where the vertical axis shows price and the horizontal axis shows the quantity.



(a) What is the profit maximising price for this monopoly?

(2 marks)

Answer: Marginal revenue = marginal cost at $Q=4$, $P=6$.

- (b) What is the profit maximising quantity for this monopoly? (2 marks)

Answer: Marginal revenue = marginal cost at $Q=4$, $P=6$.

- (c) What is the total maximum profit at this price and quantity? (2 marks)

Answer: $TR-TC=8$

- (d) Explain how product differentiation can help company to gain market power?

Answer: makes demand curve less elastic

(2 marks)

- (e) Using examples, explain the difference between vertical and horizontal product differentiation.

Answer: vertical integration is based on quality and cost, horizontal integration is based on variety

(4 marks)

Question 33

1. Workers in two countries A and B can produce either Wheat or Cars. The annual output of a worker in each country is given in units of each good in the table below.

Country	Wheat	Cars
A	20	500
B	1,000	2,000

- (a) Which country has an absolute advantage in the production of Wheat and Cars? Why?

(2 marks)

Answer: Country B

- (b) Which country has a comparative advantage in the production of Cars. Why?

(2 mark)

Answer: Country A
Opportunity cost: Country A 1:25
Country B 1:2

- (c) Suppose the terms of trade between the two countries is 10 units of Cars for 1 unit of Wheat. Would the trade take place under these terms? Explain how each country would benefit from trade on these terms.

(4 marks)

Answer: Yes. Country A will export Cars to Country B in return for imports of Wheat. The terms of trade must lie between 2 units of Cars per one unit of Wheat (Country B's opportunity cost) and 25 units of Cars per one unit of Wheat (Country A's opportunity cost). Trade on these terms will benefit Country A because it can import Wheat at a cost of 10 which is cheaper than producing it at a cost of 25. It also benefits Country B since it sells Wheat at 10, higher than the cost of producing it at 2.

- (d) Discuss advantages and disadvantages of using tariffs as protection to trade.

(4 marks)

Answer: advantages: protection of infant industries; disadvantages: loss of welfare

Total: (50 marks)